

## OBSERVATIONS BY M. RABEL.

Whilst in general agreement with the judgment delivered by the Court, I find myself, to my regret, compelled to disagree with it in regard to some points, one of which I feel it my duty to deal with below (No. II). Before doing so, I wish briefly to explain my point of view in accepting the solution adopted by the Court in regard to the main question concerning the fixing of the indemnity due by the Respondent (No. I).

I.—In Chapter III, the judgment begins by saying that if the expropriation effected by the Polish Government had been lawful, the compensation due by it therefore should correspond to the value of the undertaking at the time of dispossession, plus interest on this sum to the date of payment. The judgment goes on to say that this limitation of the compensation is not admissible in the present case because the Polish Government had no right of expropriation and that, consequently, the German Government is entitled to be compensated for all the losses suffered by its nationals as a result of the seizure of the undertaking.

Being convinced of the justice of these arguments, I have accepted them, believing that the principles resulting from the unlawful nature of the expropriation, which principles are subsequently set out in the judgment, are applicable in practice whenever the damage caused appears greater than the compensation which would be due if expropriation had been lawful, as may be the case in the present suit.

It is in fact obvious that the expropriator's responsibility must be increased by the fact that his action is unlawful. Nevertheless, it is in my opinion also obvious that the unlawful character of his action can never place the expropriator in a more favourable position, nor the expropriated Party in a more unfavourable position, either by reducing the indemnity due or by increasing the burden of proof resting upon the Applicant. This point of view, with which the Court in its judgment has not thought fit expressly to deal, appears to me to be in accordance with the general principles of law.

It corresponds to the notion which has been very clearly established, for instance in the application of German civil law, namely that the fact that an act is of an unlawful character—in the same way as if it were of a deceptive or defective character—though in principle aggravating the consequences of the act, nevertheless leaves intact, in favour of the injured Party, and to be asserted by him should he choose to do so, the rights to which the act would have given rise if it had been lawful or less culpable.

It appears to me therefore that the obligation resulting from an unlawful seizure may be simply expressed as follows: A government which has expropriated an object—with no right to do so—is obliged to pay the value of the object at the moment of dispossession plus interest on this value, and it is also responsible for damage caused in so far as such damage exceeds the amount mentioned above.

The questions put by the Court to the experts meet this view, though, in my opinion, they are not in all points necessary or expedient.

II.—I cannot concur in the Court's decision in regard to the so-called question of set-off.

1. This question first arose in a note of the Polish Government of February 1st, 1927, to the effect that that Government had claims against Germany in respect of various amounts, one of which, arising out of social insurances in Upper Silesia, had been fixed by an award of the League of Nations at 25 million Reichsmarks. In these circumstances, it contended that the respective claims should be set off against each other. It is to be observed that this statement related to the note and aide-mémoire of the German Government, dated January 19th, 1927, which "in regard to the question of the method of payment, which tended more and more to become the main question", demanded "in principle a full and immediate payment" and proposed, as regards some portions of the payment, the delivery of bills of exchange.

As will be seen, the Polish Government, in asserting its right to set-off, did not specify the claims in question, except the claim arising out of social insurance in Upper Silesia. Now the Arbitral Tribunal of Interpretation, established between

the Reparation Commission and Germany to hear disputes concerning the so-called Dawes Plan, gave, on March 24th, 1926, a decision having the force of *res judicata* as between Germany and Poland, to the effect that the payment of the 25 millions referred to is included in the annuities which, under the Dawes Plan, Germany has to pay to the Agent-General for Reparation Payments. As these annuities consist of fixed sums, the Polish Government's contention was therefore designed to make the German Government—contrarily to the award of the Arbitral Tribunal of Interpretation—bear the burden of this claim, by causing it to lose the indemnity due for the dispossession of the Oberschlesische, which had been established by another international judgment, namely the Court's Judgment No. 7.

2. In the course of the proceedings leading up to Judgment No. 8, as well as those leading up to the present judgment, in spite of the invitations of the Applicant on the subject and notwithstanding the exhaustive statements made by both Parties on the question of set-off, the Polish Government has neither put forward specific claims to which it is entitled, nor said that it would not maintain its submission that judicial or extra-judicial set-off against the future judgment should be allowed.

The German Government in the course of the proceedings has several times pressed that the Court should decide this question which, being the real cause of the breakdown of the diplomatic negotiations, is, in its opinion, a question of vital importance in this suit, and that, unless it were decided, the dispute concerning the Chorzów factory would not really be completely adjusted.

3. The Court considers that it has not jurisdiction to pass upon this difference of opinion under Article 23 of the Geneva Convention.

It should be observed that the terms of the judgment which dismisses the German claim in regard to the question of set-off in so far as they are based on the said opinion, do not seem to me to have any bearing on claims directly seeking judgment for an actual payment in money. For the Court, having decided in its judgment that the said Article 23 of the Geneva Convention gives it jurisdiction to determine the form and

method of the reparation due, seems undoubtedly to cover, in this definition of its jurisdiction the question whether, in this case, a money indemnity should be actually paid in money or in other values.

4. The judgment deals rather with the abstract question raised by the Applicant as to whether and under what conditions a respondent condemned by a judgment of the Court to pay a certain sum, may put forward a counter-claim to be set off against this obligation. This question also seems to me to enter into the present proceedings and not to relate to a point necessarily distinct from them, such as should only be taken at a subsequent stage.

A judgment imposing a penalty creates an obligation and lays down in what that obligation consists. In a system of municipal law, the judge may and should confine himself to certain observations and technical points, which observations may be read in the light of relevant municipal legislation. Thus municipal law will define what is meant by a payment which the defendant is ordered to make and in particular whether and under what conditions the setting-off of a counter-claim is equivalent to payment in money of the judgment debt. If, on the other hand, in an international case, the Parties are at issue as to the action to be taken by the defendant in complying with the judgment, it appears to me that the nature of this action must be defined in the judgment in order to avoid any possible uncertainty.

As regards the other conditions necessary for the granting of the claim in question, I will merely point out that in my opinion they also are fulfilled in the present case.

(Signed) E. RABEL.

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